NATIONAL ASSEMBLY, 7TH PARLIAMENT

REPORT OF THE STANDING COMMITTEE ON PUBLIC ACCOUNTS

ON OVERSIGHT VISIT TO GOVERNMENT ASSETS (GOVERNMENT GARAGES AND RESIDENTIAL AREAS) IN OSHANA, OHANGWENA, OMUSATI AND OSHIKOTO REGIONS FROM 20-26 AUGUST 2023

REPORT NO.5 OF 2024

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COMMITTEE MEMBERS

1. Hon Dudu Murorua
2. Hon Hilaria Mukapuli
3. Hon Modestus Amutse
4. Hon Leevi Katoma
5. Hon Kennedy Shekupakela
6. Hon Charmaine Tjirare
7. Hon Fenni Nanyeni
8. Hon Vincent Mareka
9. Hon Mathias Mbundu

OFFICE OF AUDITOR GENERAL

1. Mr. J. E. Kandjeke

SECRETARIAT

1. Mr. Protasius Nghileendele
2. Mr. Norbert Uuyuni

STAFF MEMBERS FROM THE MINISTRY OF WORKS AND TRANSPORT– FIXED ASSETS MANAGEMENT

1. Mr. Nande Amakali
2. Ms. Ester Augubetus
3. Mr. Aaron Amakali

TERMS OF REFERENCE

The following formed the objectives of the mission:

1. Investigate the allocation of Governments flats, houses and ascertain current practices;
2. Collect information on the management of GRN residential and recommend possible improvements thereafter;
3. Explore the current state of record keeping of housing and occupants;
4. Collect information pertaining to the leasing of government residential units/flats, houses and scrutinize the effectiveness of lease agreements;
5. Ascertain the effectiveness of inspections of Government flats/ housing;
6. Investigate the adherence to the State Finance Act and Treasury Instructions with regard to alienation of Government houses/flats;
7. Report findings, conclusions and recommendations to the National Assembly.

1. INTRODUCTION

The National Assembly Standing Committee on Public Accounts undertook an investigative mission to ascertain the current status of Government houses, garages and some schools in selected regions of Ohangwena, Oshikoto, Oshana and Omusati from 20 to 25 August 2023. In addition, the Committee conducted meetings with staff from the Ministry of Works, Department of Fixed Assets, Head Office and those in the regions. This exercise assisted the Committee to compile a comprehensive report on the state of Government houses and schools in selected regions.

2. METHODOLOGY

Before the formal commencement of the meetings the Chairperson of the Committee explained the purpose of the visits and highlighted the Terms and Reference. After meetings, site visits were undertaken to Government houses and schools in each region extracted randomly from the master list provided by staff members from Works Head Office (Fixed Assets Department). Probing questions were employed to obtain answers.

3. SITE INSPECTION IN OMUSATI REGIONS

During a visit to house no 12 in Okahao, the Committee was informed that it was constructed in the late sixties and it was one of the pool houses assigned / allocated to the Ministry of Education and was occupied by two teachers. The Ministry was solely responsible for the maintenance of houses under its care. The Committee observed that the house was in a dilapidated state with big see through cracks and broken windows. Officials from Works informed the Committee that works inspectors in the regions have literally become salary collectors, most of the maintenance works is done by some middle men through the tendering process as per the Procurement Act 15 of 2015.

The Committee paid a visit to Shaanika ya Nashilongo Senior Secondary School, the Committee observed that both boys and girls hostels' rooms were not fitted with doors, broken windows were covered with cartons. Dining room ceilings were falling apart. The Committee was informed that National Examinations takes/administered in the dining hall. At the newly constructed girls' hotel, pupils were sleeping on the floor on matrasses bought by parents themselves will be forfeited to Government after completion of school. There were no handy men on the premises.

The Committee was informed about key challenges at Okahao namely:

- ✓ Lack of funds to renovate the school hostel and instead illegally utilising School Development Funds to carry out renovations;
- ✓ Situation is known to the Directorate of Education in the region, but no remedial actions have been taken;
- ✓ Works inspectors visited the school, compiled a report and vanished in thin air.

The Committee was advised to visit Nakasholoto Primary School. The school was built in 1980 and it has an enrolment of 106 learners in grade one to six. It has a total number of six teachers. The Committee found that the floor foundation of one class room has shifted in position and not repairable.

On the visit to Mwaala Senior Secondary School, the Committee found that school was still using asbestos roofing materials which have been discontinued elsewhere due to their health risks were still use and falling apart. See through cracks could be seen, not conducive for human habitants and broken windows were found at both boy's and girl's hostels. The old boys' hostel was completely abandoned due to health risk it poses and life electrical wires were found lying around without being covered. The bath rooms the boys' hostel were in shambles with open sewerage – a breeding ground for communicable diseases such as cholera. There were gapping cracks in the walls, crater size holes in the floor as well as dripping and leaking pipes. The Headmaster was advised by the Auditor- General to establish an asset register for the school.

At a visit to staff accommodations at David Sheehama Senior Secondary School, the Committee found, despite the Ministry of Works and Transport recommending that the building to be demolished, it was still occupied. It is alleged that the Ministry of Education, Arts and Culture was only taking care of newly constructed infrastructures, thus abandoning the old ones' despite being occupied by its staff members.

At a visit to Nuuyoma Senior Secondary School, like any other school visited, at the boys' dormitory, the Committee found gaping holes in the ceilings and no doors at the boys' sleeping rooms. Hygiene was well maintained compared to secondary schools visited in other parts of the Omusati Region. The Committee also found that a roof of a building blown off since 2013, but was not fixed yet. The Committee also found that private individuals occupied Government houses meant to accommodate teaching staff.

4. OSHANA REGION

In Oshakati, Oshana Region, the Committee visited several government houses including caravans/ mobile houses. Key findings were that the caravans/ mobile houses have reached their life span, dilapidated and no longer fit for human habitation, and should therefore be demolished.

Discussions with Officials at Ondangwa Government Garage

Mr Amakali, Senior Artisan informed the Committee that all systems at government garages were in place before the introduction of Procurement Act 15 of 2015. The situation was further aggravated by the introduction of Integrated Management Financial System (IMFS). **The Ondangwa Government Garage had total number of 328 vehicles, 252 vehicles were functional and assigned to different ministries and 76 vehicles** were parked for more than six months waiting for minor to major repairs raging from batteries, mirrors and tyres. And some are awaiting auction. The concept of three quotations principle is not the catalyst, different vehicles (models) have different suppliers. The process of getting the purchases order is quiet burdensome, hence the need for the Procurement Committee to be investigated.

The Auditor-General recommended that the Trade Accounts should be closed because it is not well managed-overspending and it is treated like an overdraft.

The Committee was further informed that the Government Garage as a Division has been experiencing multiple challenges ever since and specifically due to operational matters which are aligned or caused by either financial and maintenance matters. The ongoing protracted challenges have resulted in OMAs opting out as the transport provision services play major roles on their mandatory service delivery to the public. The existing policy stipulates that 80% of vehicles' repair should be done at the Government Garage and only 20% should be outsourced, but now it is vice-versa. The constant non-availability of vehicles whenever needed has called in question the justification for the existence of the Government Garage and its operation as a critical transport service provider and as a Division for the professional maintenance of Government vehicles.

Key challenges as follow:

- ✓ Vehicles tariffs are by far below market/industry rates;
- ✓ Ineffective vehicles' replacement policy;
- ✓ Poor revenue collections;
- ✓ Ineffective credit adjustment for vehicles under prolonged repairs;
- ✓ Outdated integrated Fleet Management System;
- ✓ Non-budgetary annual provision for the continuous vehicles procurement;
- ✓ Log summaries remain manual administered for the usage of pool vehicles;
- ✓ Invoices are manually processed and ever having a backlog of up to three months;
- ✓ The introduction and implementation of IFMS has slowed down the creation of Purchase Orders ever affected the timely procurement of needed spare parts;
- ✓ Nowadays majority parts are after-market parts, the so-called "pirates parts" which are unfit;
- ✓ Limited passwords for the IFMS availed to the Government Garage financial functions;
- ✓ Slowness of IFMS at Government Garage due to network connections-the IFMS system is so slow that sometimes physical documents are taken to the Ministry of Finance for processing;
- ✓ Timely payments of suppliers remain a challenge;
- ✓ Procurement is centrally administered;
- ✓ Higher overtime costs as well as subsistence and travel allowance expenses;
- ✓ Non-availability of online stock controller system for spare parts stores;
- ✓ Lengthy waiting period for procurement of spare parts;
- ✓ Non-availability of booking system for service intervals;
- ✓ Poor infrastructure that were not constructed for vehicles workshop, especially in Opuwo and Khorixas which leads to poor working environment;
- ✓ Lack of incentives for the best performing Artisans to motivate them;
- ✓ Poor training plan to upgrade the skills of artisans;
- ✓ Non-existence of stock monitoring system;
- ✓ Aging fleet which requires constant repairs – reached its economic life span, the last time government bought vehicles was in 2014;
- ✓ The introduction of Procurement Committee further created a bottle neck in the operations of government garages. Officials given a limited amount to approve and the

rest is sent to Windhoek for approval, thus creating a backlog in paying suppliers – paper trail;

- ✓ GRN vehicles are parked at government garages with minor repairs-waiting for approvals from Windhoek as per the Act;
- ✓ Artisan not being productive and are paid for reporting for duties only and the mechanical workshop was almost empty;
- ✓ Fleet Management System was implemented in 1999, outdated and is still being operated/managed by one person.

On the visit to Ondangwa Government Garage store room, Committee found empty shelves, no spare parts and only a few lubricants could be seen – enough to fix fleet. Bulbs were not working leaving one section of the storeroom without light and this was attributed to the Procurement Act. The storeroom itself was in bad shape due lack of maintenance. In fact, the mechanical division of the Ondangwa Government Garage was not operational. The Government Garage operates trade accounts where OMAs need to pay for the use of vehicles The Ondangwa Government Garage as a whole was poorly maintained. The Committee also found old overalls piled up without being destroyed apparently due to the requirement of the Procurement Act. The Committee was informed that the biggest problem is the Procurement Act, which resulted in a centralised system-everything has to be done in Windhoek and it is not allowed to have exemptions.

Committee visited the Ondangwa Government Sport Club which was undergoing rehabilitation/renovations by a certain tenant unknown to officials of the Ministry of Works and Transport. It is alleged that government properties are being illegally transferred without the knowledge of staff responsible Ministry. The PAC will further investigate how government fixed assets are being transferred, especially the Ondangwa Sport Club. The Committee visited house BM79/103 erf 1410, the officials informed Members that the house was assigned to the Ministry of Justice for the last two years and not occupied and still in good shape. The Committee further visited other houses and they were not different from other government houses visited in the Region.

5. OHANGWENA REGION

During a visit to the Oponhofi Secondary School, the principal informed the Committee that it was established in 1976. It enrolled 1200 learners in 2023. It is one of the oldest schools in the northern regions. The School was built to cater/accommodate about 300 to 400 leaners and the number have since increased to 1200 learners. School infrastructure or facilities such as toilets are under extreme pressure. School hostel not big enough to accommodate everybody and majority of students reside outside the school which causes societal problems. Therefore, school accommodation can only cater for 40% of the school population. The school started renovating some classes on its own with money obtained through fundraising activities. They received no assistance from the Ministry of Works and Transport. The Committee found that teachers' accommodation that are poorly maintained are outside school premises. The roofing of these accommodations are made of asbestos, which poses health hazards such as lung diseases and tissue damage.

Key challenges

- ✓ No major renovation took place for the last twenty years and school have started doing its own maintenance. Although toilets were dilapidated, general hygiene was highly maintained;
- ✓ Teachers' accommodation facilities not in good shape- the roofs are made out of asbestos.

Achievement

- ✓ Oponhofi Secondary School operates and manages a tuck shop, piggery and garden as a way of sustaining itself;
- ✓ Both boys and girls hostel are well maintained and no major problems were found.

General observation is that Oponhofi Secondary School standout to be the best of all the schools the Committee visited.

6. OSHIKOTO REGION

In Omuthiya, the Committee visited an abandoned caravan and learned that the last time it was occupied was 2010 and no other records could be traced. The Committee visited four caravans at Oshivelo and they too were falling apart and were occupied by staff of the Ministry of Safety and Security through a gentle men agreement and they pay "rent''. In Tsumeb, the Committee visited two houses assigned to the Ministry of Basic Education, Art and Culture which was found with leaking water pipes, broken windows, hanging ceilings and tiles were disintegrating.

7. FINDINGS

7.1 All government caravans the Committee visited are in dilapidated conditions and was hard to believe people were living in there;

7.2 The Committee found that some Government houses, especially in Oshakati were occupied by retired employees who do not pay rental fees;

7.3 The Committee further found that houses not assigned to particular ministries were in bad state and are exposed to vandalism;

7.4 The Committee was informed that the Ministry of Works and Transport have stopped repairing water leakages and renovations of Government houses.

7.5 The Committee learned that occupants had no lease agreements in place as required by housing rules and tenants do not honour their dues;

7.6 The Committee was informed by the accompanying staff of the Ministry of Works and that the method used to evaluate Government houses does not reflect the actual value of such assets, as a result are sold for peanuts.

7.7 The Committee was informed that the customary disappearance of tender documents in the Ministry of Works and Transport is caused by officials conniving and colluding with tenderers to win tenders.

8. CONCLUSION

Government houses/properties are not well maintained. They are left to depreciate at an alarming rate. In addition, no clear record/data base is kept to determine legal occupants, which is in violation of Official Accommodation Rules.

9. RECOMMENDATIONS

9.1 The Committee recommends that the Ministry of Works and Transport conducts regular inspection visits to Government Houses/assets and ensure that Official Accommodation Rules are adhered to at all times.

9.2 Ministry of Works and Transport to compile a comprehensive assets register of government properties/assets in all fourteen regions.

9.3 Ministry of Works and Transport consider selling/auction all pool houses at a market related prices.

9.4 Ministries that assigned Works houses should immediately move in once the lease agreement is signed to avoid vandalism of such properties.

9.5 Ministry of Works and Transport should be allowed to utilise funds obtained from the alienation programme to fund renovations costs.

9.6 Trade accounts (overdrafts) should be closed because they are not managed well. They cause overspending of the budget.

9.7 The Ministry of Works and Transport should make use of vocational training centres trainees as well as prisoners to repair dilapidated Government buildings and only buy materials.

9.8 Disciplinary measures should be preferred to deal with staff members who collude with tenderers or are involved in illicit and unethical activities.

9. MEMBERS SIGNATURES

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Hon Dudu Murorua Committee Chairperson	Hon Hilaria Mukapuli Deputy Chairperson
.....	.....
Hon Leevi Katoma	Hon Kennedy Shekupakela
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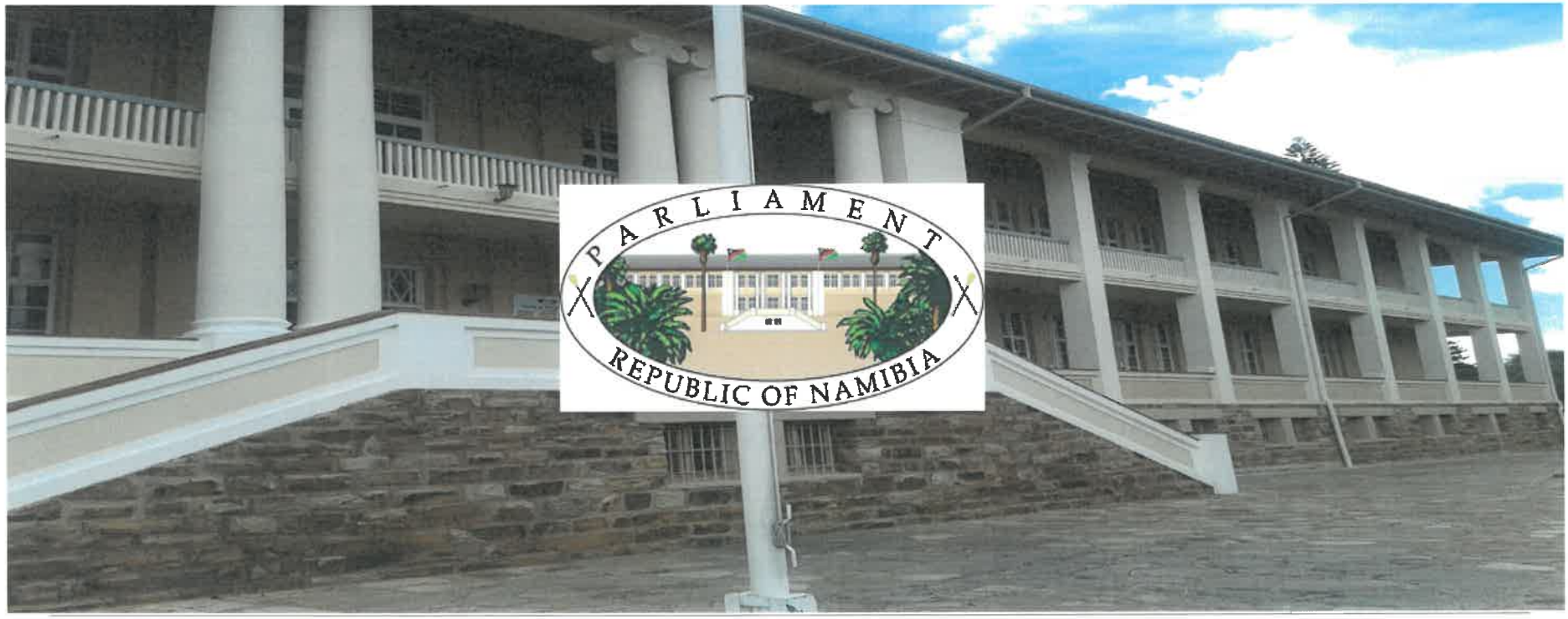
Hon Charmaine Tjirare	Hon Fenni Nanyeni
.....	.....
Hon Vincent Mareka	Hon Mathias Mbundu



INSPECTION/OVERSIGHT VISITS TO EDUCATIONAL FACILITIES IN OSHANA,OMUSATI, OHANGWENA AND OSHIKOTO REGIONS

20-26 AUGUST 2023

DUDU MURORUA – CHAIRPERSON, PUBLIC ACCOUNTS COMMITTEE

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- House number 12 in Okahao
- Shaanika ya Nashilongo Senior Secondary School
- Nakasholoo Primary School
- Mwaala Senior Secondary School
- David Sheehama Senior Secondary School
- Nuuyoma Senior Secondary School
- Oponhofi Senior Secondary School
- Photos gallery

Aim

- Share with the Minister and the Executive Director of Basic Education, Arts and Culture findings of the oversight visits
- Hear from the Minister and her executive team what they plan to do or are doing about the precarious and dilapidated school infrastructure countrywide
- To chart a way forward

Visit to house number 12 in Okahao

- It was constructed in the late sixties and one of the pool houses allocated to the Ministry of Basic Education, Arts and Culture and was occupied by two teachers
- The Committee found the house in an advanced dilapidated state with big see-through cracks and broken windows
- The Ministry is solely responsible for the maintenance of houses under its care
- Accompanying officials of the Ministry of Works and Transport informed the Committee that works inspectors in the regions have literally become salary collectors because most of the maintenance works were done by some middle men through the tendering process as per the Procurement Act 15 of 2015

Visit to Shaanika ya Nashilongo Senior Secondary School

- The Committee found that rooms of both girls' and boys' hostels were not fitted with doors, broken windows were covered with cartons
- Ceilings in the dinning room were falling apart
- The Committee was informed that National Examinations take place in the dining hall
- At the newly constructed girls' hostel, learners were sleeping on the floor on matrasses bought by parents and be forfeited to Government after completion of school
- The Committee was informed that there were no institutional workers on the premises

Key problems at Shaanika ya Nashilongo

The Committee was informed that:

- Lack of funds to renovate the school hostel, instead illegally using the school development funds to carry out renovations
- This situation was known by the regional educational directorate, but no remedial actions have been taken
- Work inspectors visited the school, compiled a report and than disappeared

Visit to Nakasholoio Primary School

- The school was built in1980 and had an enrolment of 106 learners from grade 1 to 6 and it had 6 teachers
- The Committee found that the floor foundation of one class room had shifted in position and not repairable

Visit to Mwaala Senior Secondary School

- The Committee found that the school was still using asbestos roofing materials which have been discontinued elsewhere due to their health risks and they were falling apart
- See-through cracks could be seen in the walls and in the roofs
- Broken windows were found at both boys' and girls' hostels (not conducive for human habitation)
- The old boys' hostel was completely abandoned due to health risks it poses
- Live electrical wires were found lying around without being covered

Visit to Mwaala Senior Secondary School cont…

- The bath rooms at the boys' hostel were in shambles with raw and open sewerage (bleeding ground for communicable diseases like *cholera)*
- Gapping cracks were visible in the walls
- Crater-size holes were found in the floor as well as dripping and leaking pipes

Visit to David Sheehama Senior Secondary School

- The Ministry of Works and Transport recommended the demolition of student accommodation, but the Committee found the building was still occupied
- It was alleged that the Ministry of Education, Arts and Culture only takes care of newly constructed infrastructure, while abandoning the old ones despite being occupied by their learners and staff members

Visit to Nuuyoma Senior Secondary School

- In the boys' dormitory, the Committee found gaping holes in the ceilings and sleeping rooms hand no doors
- Hygiene was well maintained compared to secondary schools visited in other parts of the Omusati Region
- The Committee also found that a roof of a building blown off since 2013, but was not yet fixed
- The Committee further found that Government houses meant to accommodate teaching staff were occupied by private people

Visit to Ponhofi Senior Secondary School

- Established in 1976, one of the oldest secondary schools in northern regions
- Was built to accommodate about 300 to 400 learners, number increased to 1200 in 2023
- Infrastructure and facilities such as toilets are under extreme pressure
- Hostel not big enough to accommodate everybody, thus, majority of learners reside outside the school which causes societal problems
- Therefore, the school can only accommodate 40% of the school population in hostel

Visit to Ponhofi Senior Secondary School cont…

- The school started renovating some classes on its own with money obtained through fundraising activities
- No assistance from the Ministry of Works and Transport
- The Committee also that teachers' accommodation which are poorly maintained are situated outside school premises
- The roofing of the accommodation are made of asbestos

Achievements of Ponhofi Senior Secondary School

- The school operates and manages a tuck-shop, a piggery and a garden as a way of financially sustaining itself
- Both boys' and girls' hostel were well maintained and no major problems were found
- Although toilet facilities were dilapidated, general hygiene was highly maintained
- The general observation is that Ponhofi Senior Secondary School standout to be the best of all schools the Committee visited

Problems at Ponhofi Senior Secondary School

- No major renovation took place for the last twenty years, thus, school has started doing its own maintenance
- Teachers' accommodation facilities were not in good condition-the roofs are made out of asbestos

House number 12 in Okahao

Cracks in a classroom at Mwaala Senior Secondary School

Broken windows covered with cardboards at one of the schools

Gaping holes in a ceiling of one of the dormitory rooms at Nuyoma Secondary School

Broken ceilings at Nuyoma Secondary School

Cooking pots at Shaanika Ya Nashilongo Secondary School

A live electrical terminal left unattended

Broken ceilings

Cracks in one of the classrooms at Mwaala Secondary School

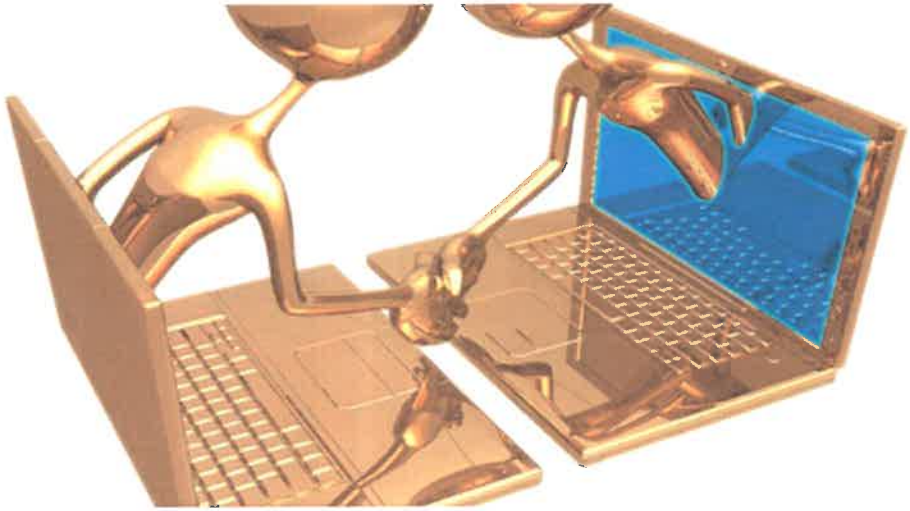
Dormitory door at Shaanika Ya Nashilongo Secondary School

A cooking pot sealed with a piece of cloth Shaanika Ya Nashilongo Secondary School

Exposed electrical wires on a pot at one of the visited schools

One of the classrooms at Nuyoma Secondary School

A leaking tap closed with a stick at one of the visited schools



Thank You!